

machines, a mess of biases and emotions. We prefer to seek out, notice, and remember that which agrees with our prior thinking.

The experts are no better than the public at large. Consider the comprehensive examination of expert forecasting performed by Philip Tetlock,⁶⁶ professor of psychology and management at the University of Pennsylvania. He studied 28,000 forecasts made by hundreds of experts in a variety of different fields. His findings:

Surveying these scores across regions, time periods, and outcome variables, we find support for one of the strongest debunking predictions: it is impossible to find any domain in which humans clearly outperformed crude extrapolation algorithms, less still sophisticated statistical ones.

In other words, expert forecasts are statistically indistinguishable from random guesses.

What should investors do instead of paying attention to these unsupported, mostly wrong, exercises in futility called forecasting? At the very least, I suggest three simple things:

1. A well-thought-out financial plan that is not dependent upon correctly guessing what will happen in the future.
2. A broad asset allocation model that is Core & Satellite: Mostly passive indexes, plus whatever ornaments you might want on the tree. Rebalance every few years. Repeat forever.
3. Cut the useless, distracting noise in your media diet.

It is important for investors to understand what they do and don't know. Recognize you cannot know what is going to happen in the future, and any investment plan that is dependent on accurately forecasting where markets will be next year is doomed to failure.

Never forget this simple truism: All forecasting is marketing, plain and